

EXECUTIVE SUMMARY

Decoding Customer Value: A SQL-Driven Retention Strategy

D2C Fashion Brand | Customer Intelligence Report

BUSINESS QUESTION

Is this brand building a loyal customer base — or dependent on continuous promotional activity?

Answer: **Fundamentally healthy, but sitting on a hidden risk** — and on a customer base whose value is behavioral, not demographic.

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Key Performance Metrics

\$233K

TOTAL REVENUE

3,900

TOTAL CUSTOMERS

57.35%

ORGANIC REVENUE

\$20K

AT-RISK REVENUE

7.49x

LTV GAP

01 Majority revenue is organic — but risk exists

57.35% (\$133,670) from Pure Organic Loyalists who never used a promo. **341** High-Risk Promo Addicts = only **8.68%** revenue — expensive to retain, likely to churn if discounts stop.

02 Customer value is highly concentrated

Top **24.97%** High-Value customers (974) generate \$77,750 with avg LTV **\$3,209** — nearly **7.5x** the Low-Value segment (\$428). Brand growth depends on protecting this tier.

03 Two loyalty definitions tested — a validated hybrid wins

Def A (Organic): 1,529 customers, avg spend \$2,048. Def B (Monetary): 1,762, but includes promo-driven buyers — only **33% overlap** with Def A. Testing revenue correlation directly: the intersection, **Def C (563 customers, both organic AND High-Value)**, outperforms both parents on every metric. Used for ICP targeting.

04 Geographic opportunity — directional, not proven

Kansas (77.8% organic), Connecticut (70%), Tennessee (66.7%) show high organic demand with low promo dependency. Top-state signal holds even after correcting for testing all 50 states, though margins are tight (63-95 customers/state) — worth a test campaign before a full rollout.

05 Category and season behavior is brand-driven, not segment-driven

All 4 categories show ~49-51% retention power and ~25 avg previous purchases — confirmed not statistically different (ANOVA $p=0.325$). Season shows the same flat pattern ($p=0.581$). Customers are loyal to the brand, not a category or time of year. Entry-point by volume: Clothing (348 customers). **Every demographic trait tested — age, gender, category, season, payment method — is statistically insignificant against customer value.** This brand's value is behavioral, not demographic.

STRATEGIC RECOMMENDATION

Sunset discounts for High-Risk Promo Addicts. Protect Organic Loyalists. Target Kansas, Connecticut & Tennessee for organic growth campaigns — with behavioral targeting (organic, high-tenure), not demographic targeting.